

February 24, 2026

Senator Liz Krueger, Chair
Senate Finance Committee
172 State Street, Capitol Building
Room 416 CAP
Albany, NY 12247

Senator Thomas O'Mara, Ranking Member
Senate Finance Committee
Legislative Office Building
Room 706
Albany, NY 12247

Assemblyman J. Gary Pretlow, Chair
Assembly Ways and Means Committee
Legislative Office Building
Room 923
Albany, NY 12248

RE: Letter in Opposition to “Part AA: Regulation of Data Brokers” in the Fiscal Year 2027 New York State Executive Budget on Transportation, Economic Development and Environmental Conservation

Dear Chair Kreuger, Ranking Member O'Mara, and Chair Pretlow:

On behalf of the advertising industry, we write to oppose “Part AA: Regulation of Data Brokers” in the Fiscal Year 2027 New York State Executive Budget on Transportation, Economic Development and Environmental Conservation (“Budget”).¹ We provide this letter to offer our non-exhaustive list of concerns about the budget bill that contains the Data Broker Accountability Act (“Act”). The Act would create new registration requirements for companies in ways that are duplicative of existing laws, are out-of-step with requirements in other states, and would create a significant fiscal burden for the state of New York. Legislation of this magnitude, with far-reaching operational and legal consequences for regulated entities, should be considered through a focused, stand-alone legislative process rather than being folded into a budget bill where it cannot receive the appropriate debate and scrutiny it warrants. Accordingly, we ask you to decline to advance the Act as drafted as part of the state’s Fiscal Year 2027 Budget.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,000 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product (“GDP”) in 2024.² By one estimate, approximately 16.8% of New York jobs in 2024 were related to the ad-subsidized

¹ “Part AA: Regulation of Data Brokers” in the Fiscal Year 2027 New York State Executive Budget on Transportation, Economic Development and Environmental Conservation, located [here](#) (hereinafter, “Data Broker Accountability Act”).

² S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.

Internet, a share projected to increase to 18.4% by 2029.³ Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the legislature further on the points we discuss in this letter.

I. The Act would establish an overly broad definition of data broker.

The Act’s proposed definition of “data broker” is materially broad. It would sweep in entities that other states have chosen to exclude and that are not traditionally understood to be data brokers. This would create confusion for consumers. Unlike Vermont, Texas, and Oregon, where data broker laws apply to businesses that knowingly collect and sell personal data of consumers with whom they have no direct relationship, the Act would extend the definition so “data broker” includes a business that may *have* a direct relationship with a consumer but does “not have a direct relationship with such consumer as to personal information it sells about such consumer that it collected outside of a consumer-facing business with which the consumer intends and expects to interact.”⁴ This definition is overbroad because it would treat ordinary New York businesses as “data brokers” simply for using lawful, widely accepted advertising and customer prospecting tools that rely on third-party data in combination with data directly collected from consumers. The Act’s “data broker” definition runs the risk of transforming the proposed data broker registry into a registry of all companies that do business in New York. What that means in real terms is that grocery stores, museums, corner stores, theaters, bakeries, restaurants, hotels, and myriad other categories of businesses will now be captured as data brokers.

Most modern businesses receive and transfer information about consumers that they did not collect directly themselves to further legitimate advertising and customer prospecting efforts. Information from sources other than the consumer is used for a variety of consumer-focused benefits, including address correction services, email verification purposes, and even database hygiene to reduce the frequency and number of promotions consumers receive for various products and services, among others. The bill’s “data broker” definition risks bringing any business that uses data from third parties for these beneficial purposes into its scope. This concern is most acute for new and small businesses that must rely on third party data sources to reach new consumers—customers they do not yet have—to grow. Importantly, the proposed definition departs from the more targeted approach used in most other states and would create uncertainty for a wide range of companies that have direct consumer relationships but may use data collected directly from individuals and data from third-party sources for their advertising efforts. The legislature should take steps to change the definition of “data broker” so that it resembles the definition of the term in Vermont, Texas, and Oregon. Such an update would help ensure the Act focuses on entities whose principal business is the commercial sale of consumer data and better align the bill with established data broker frameworks in other states.

³ *Id.* at 15-16.

⁴ Compare Or. Rev. Stat. § 646A.593(c), 9 V.S.A. § 2430(4), and Tex. Bus. & Com. Code § 510.001(4) with Data Broker Accountability Act § 2, § 1800 (11)(a)(ii).

II. The Act would create a data broker registry that is largely duplicative of existing disclosures and is out of step with other privacy laws.

The registry requirements in the Act mandate that data brokers annually register with the Department of Financial Services and disclose information about their business practices, including the types of personal data they collect, how it is processed, and opt-out processes.⁵ This information is already routinely disclosed by data brokers through their privacy policies and compliance mechanisms under other existing state privacy laws, which similarly require public transparency about data collection, sale, and consumer rights.⁶ If the New York legislature chooses to establish a data broker registry, we encourage it to harmonize the Act's requirements with existing other state approaches to ensure consistency for businesses operating nationally and to reduce the need for duplicative disclosures, while still achieving transparency goals for consumers.

In addition to the Act's broad "data broker" definition, another way the Act differs from the approach to privacy in other states is in its treatment of exemptions. While the Act includes exemptions that appear to apply to the accessible deletion mechanism to be administered by the Department of Financial Services, it also appears to create a direct deletion right with covered entities that does not include meaningful exemptions for security and integrity, compliance with legal obligations, and other bedrock processing activities that are exempt from deletion requirements in other state laws.⁷ Further, the Act's lack of clarity regarding the breadth of its stated exemptions, namely, whether they extend to the direct deletion right or only to the accessible deletion mechanism, creates significant uncertainty for regulated entities attempting to design compliant processes.⁸ This uncertainty threatens to create significant disharmony across state requirements, and underscores why legislation of this importance should be considered through a stand-alone legislative process rather than being incorporated into a large budget bill that necessarily includes numerous other complex and competing policy considerations.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be \$55 billion.⁹ Another recent study found that a consumer data privacy proposal in a different state considering privacy legislation would have generated a direct initial compliance cost of \$6.2 billion to \$21 billion and ongoing annual compliance costs of \$4.6 billion to \$12.7 billion for the state.¹⁰ Other studies confirm the

⁵ Data Broker Accountability Act § 2, § 1801(2).

⁶ See, e.g., NJ Rev. Stat. § 56:8-166.6, 56:8-166.10; NH Rev. Stat. § 507-H:4, 507-H:6.

⁷ Data Broker Accountability Act § 2, § 1803.

⁸ See *id.* at § 2, § 1804 (describing exemptions that apply to the centralized deletion mechanism but do not clearly extend to direct requests to delete personal information from data brokers in § 1803.)

⁹ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/wp-content/uploads/sites/352/Forecasting/Economics/Documents/CCPA_Regulations-SRIA-DOF.pdf.

¹⁰ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located at

staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the compliance cost burden.¹¹ Harmonization with existing privacy laws is essential to create an environment where consumers in New York have privacy protections that are consistent with those in other states, while minimizing unnecessary compliance costs for businesses. New York should not add to this compliance bill for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

III. The Act establishes new rulemaking, which is unnecessary and risks further fragmentation.

The Act authorizes the Department of Financial Services to adopt “rules and regulations to implement the provisions of this article.”¹² The Act already outlines detailed registration disclosures, including specific information (e.g., types of data collection, opt-out mechanisms) that must be reported annually, so the value of additional agency rulemaking authority is unclear. Allowing broad rulemaking could lead to new definitions, registry requirements, or compliance mandates not vetted by the New York state legislature, creating uncertainty for businesses and consumers, and potentially additional conflicts with other state privacy frameworks. We encourage the legislature to remove this rulemaking authority and ensure the legislative language aligns with the majority of states that have enacted data broker registry laws.

IV. The Act would create enormous and costly new responsibilities for New York.

The Act would incorporate a California “Delete Act”-style “accessible deletion mechanism” into New York’s data broker regime, which would be premature and risk imposing substantial costs and operational burdens on the state without the benefit of real-world experience.¹³ California estimates that its similar mechanism will cost the state over \$7.5 million for initial roll out and related support, with additional costs for annual maintenance and upkeep.¹⁴ Requiring New York to stand up and administer a similar deletion mechanism after the Department of Financial Services is staked with implementation would saddle the Department with a complex, resource-intensive mandate before any state has demonstrated that such a system can operate effectively, securely, or cost-efficiently.¹⁵ Until California’s approach is fully

<https://floridatxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986>.

¹¹ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

¹² Data Broker Accountability Act § 2, § 1806.

¹³ *Id.* at § 2, § 1804.

¹⁴ See State of California, *Budget Change Proposal – Cover Sheet*, California Privacy Protection Agency Data Broker Deletion Request and Opt-Out Platform, located [here](#).

¹⁵ *Id.* at § 4.



implemented and evaluated, New York should avoid embedding an unproven model into its data broker framework, especially one that could impose significant fiscal burdens and introduce new data security risks for the state.

* * *

We respectfully request the legislature decline to advance “Part AA: Regulation of Data Brokers” in the Fiscal Year 2027 Budget.

Thank you in advance for your consideration of this letter.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
EVP, Government Relations & Sustainability
American Association of Advertising Agencies, 4As
202-355-4564

Clark Rector
Executive VP–Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria
CEO
Digital Advertising Alliance
347-770-0322

CC: Members of the Senate Finance Committee
Members of the Senate Commerce, Economic Development and Small Business Committee
Members of the Senate Tourism Committee
Members of the Senate Racing, Gaming and Wagering Committee
Members of the Senate Insurance Committee
Members of the Assembly Ways and Means Committee
Members of the Assembly Economic Development, Job Creation, Commerce and Industry Committee
Members of the Assembly Arts and Tourism Committee
Members of the Assembly Racing and Wagering Committee
Members of the Assembly Small Business Committee
Members of the Assembly Insurance Committee

Mike Signorelli, Venable LLP
Allie Monticollo, Venable LLP
Matthew Stern, Venable LLP